Billing Analysis Report: MERID-001 (Meridian Health)

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Meridian Health is a strategic enterprise customer signed in November 2023 under contract CTR-2023-MH-001 (50 seats @ €18,150/month). The relationship demonstrates strong payment discipline with an exceptional early-payment pattern during the first nine months, averaging 9 days early. However, a significant operational shift occurred in October 2024 when the customer's new CFO Margaret Walsh implemented changes to their accounts payable workflows. Since then, payments have consistently arrived 1-13 days late, averaging 9.5 days past due date. This is not indicative of financial distress but rather an internal process change. The customer renewed their contract in December 2024 (CTR-2024-MH-002) with improved terms (25 Engineering Enterprise + 12 Marketing seats with 5% loyalty discount = €18,583.58/month). Billing-to-date totals €343,529.07 invoiced with €324,945.49 paid, leaving €18,583.58 outstanding (the most recent June 2025 invoice due 2025-07-01). Payment reliability remains strong, with only one minor operational issue requiring attention.

Invoice Summary Table

Invoice ID	Period	Amount	Status	Payment Timing
INV-2023-MH-001	Nov 2023	€18,150.00	Paid	12 days early
INV-2023-MH-002	Dec 2023	€18,150.00	Paid	8 days early
INV-2024-MH-003	Feb 2024	€18,150.00	Paid	9 days early
INV-2024-MH-004	Mar 2024	€18,150.00	Paid	8 days early
INV-2024-MH-005	Apr 2024	€18,149.99	Paid	10 days early
INV-2024-MH-006	May 2024	€18,150.00	Paid	12 days early*
INV-2024-MH-007	Jun 2024	€18,150.00	Paid	5 days early
INV-2024-MH-008	Jul 2024	€18,150.01	Paid	4 days early
INV-2024-MH-009	Aug 2024	€18,150.00	Paid	6 days early
INV-2024-MH-010	Sep 2024	€18,150.00	Paid	5 days late
INV-2024-MH-011	Oct 2024	€18,150.00	Paid	8 days late
INV-2024-MH-012	Nov 2024	€18,150.00	Paid	12 days late
INV-2024-MH-013	Dec 2024	€18,583.58	Paid	3 days early
INV-2025-MH-014	Jan 2025	€18,583.58	Paid	8 days late
INV-2025-MH-015	Feb 2025	€14,227.58	Paid	6 days late**
INV-2025-MH-016	Mar 2025	€18,583.58	Paid	13 days late
INV-2025-MH-017	Apr 2025	€18,583.58	Paid	1 day early
INV-2025-MH-018	May 2025	€18,583.59	Paid	1 day late

Invoice ID	Period	Amount	Status	Payment Timing
INV-2025-MH-019	Jun 2025	€18,583.58	Outstanding	Due 2025-07-01

* INV-2024-MH-006 paid twice (duplicate payment processed by customer AP system on 2024-05-29). Refund of €18,150.00 initiated 2024-05-30 and completed 2024-06-03. ** INV-2025-MH-015 reduced by SLA credit CN-2025-MH-001 (€3,600.00) for January 14, 2025 platform outage (3.2 hours downtime).

Notable Findings & Issues

1. Payment Behavior Shift (Operational Risk: LOW)

Clear inflection point in October 2024 when payment pattern shifted from 4-12 days early to 5-13 days late. Root cause confirmed: New CFO Margaret Walsh implemented revised AP approval workflows. This is an organizational change, not financial distress. Customer James Park explicitly confirmed via email that delays are due to 'new approval workflows under the new CFO.' Recommendation: Maintain existing payment terms and monitor trends. Consider scheduling quarterly business review with new CFO to align on expectations.

2. Duplicate Payment (Resolved)

Invoice INV-2024-MH-006 (€18,150.00) was paid twice on 2024-05-19 (correct) and 2024-05-29 (duplicate). Customer's AP system processed the same payment through their system twice. This was detected by auto-reconciliation. Refund was immediately initiated on 2024-05-30 and completed 2024-06-03 via SEPA return (SEPA-REF/202406/ATHENA/905841). James Park acknowledged receipt. No financial impact to either party.

3. Billing Line Item Error (Resolved)

Invoice INV-2024-MH-013 issued with incorrect line items showing old contract terms (25 Engineering Growth + 25 Marketing) instead of new contract terms (25 Engineering Enterprise + 12 Marketing with 5% discount). The total amount was correct (€18,583.58) but the detail was wrong. Customer James Park reported this same day (2024-12-09). Corrected invoice issued immediately with proper line items. Dispute (DISP-2024-MH-001) was resolved same day. Customer noted the need for accuracy improvement in future invoices.

4. Reconciliation Challenges (Operational Risk: LOW)

Two invoices required manual reconciliation due to remittance reference formatting issues: • INV-2024-MH-008: Customer used free-text reference instead of structured format; matched by amount + date • INV-2025-MH-016: Customer entered wrong invoice number in remittance reference; matched by amount + payment date These are recurring operational issues stemming from customer's new AP workflow. Recommend sending payment instruction templates to James Park (Accounts Payable contact) to improve remittance reference consistency.

5. SLA Credit Applied

Credit Note CN-2025-MH-001 (€3,600.00) issued for January 14, 2025 platform outage affecting the Engineering monitoring department (3.2 hours downtime). Calculated per SLA clause 7.2 as (monthly fee / 720 hours) × 3.2 hours × 2x multiplier. Applied to INV-2025-MH-015, reducing invoice from €18,583.58 to €14,227.58. Customer confirmed satisfaction with incident response and post-mortem delivery (Jan 17).

6. Misdirected Payment (Resolved)

Unmatched payment of €847.50 received on 2025-04-22 that did not correspond to any outstanding invoice. Finance team contacted James Park, who confirmed it was sent in error to our account instead of a different vendor. Misdirected payment was returned on 2025-04-28 via SEPA return (SEPA-RET/202504/ATHENA/502997). No impact to Meridian Health's account balance.

Summary Metrics

Metric	Value
Total Invoiced (All Time)	€343,529.07
Total Paid	€324,945.49
Outstanding	€18,583.58
Invoice Count	19
Paid Invoices	18
Payment Success Rate	94.7%
Average Payment Days Early (2023-2024)	~9 days
Average Payment Days Late (2024-2025)	~9.5 days
DSO (Days Sales Outstanding)	~12 days

Recommendations

1. MONITOR: Continue monitoring late payment trend (Oct 2024 onwards). Set alert threshold at 15 days late for escalation to Account Manager. 2. COMMUNICATE: Schedule QBR with new CFO Margaret Walsh and AP Manager to: • Clarify payment timeline expectations • Provide payment instruction templates with correct remittance reference format • Address billing accuracy requirements 3. PROCESS: Implement standardized remittance reference template in payment instructions to reduce manual reconciliation overhead. 4. RELATIONSHIP: Overall billing health is STRONG. Customer is reliable despite operational challenges. Maintain positive relationship and proactive communication. 5. RENEWAL: Contract CTR-2024-MH-002 (Year 2) is performing well. Monitor usage trends; customer has reduced Marketing seats (25→12) but expanded Engineering to Enterprise tier, indicating product fit and growth potential.